How the ‘Nostradamus of AI’ Got It Wrong

Podcast: Wall street journal

AI Executive Summary

Core Thesis The episode chronicles the meteoric rise and near-collapse of Leopold Aschenbrenner’s hedge fund, "Situational Awareness." It explores how a high-profile, AI-focused investment strategy—characterized by extreme leverage and heavy exposure to volatile semiconductor stocks—was pushed to the brink of liquidation by margin calls. Ultimately, the narrative highlights the tension between "new guard" Silicon Valley visionaries and the "old guard" of Wall Street, illustrating that even the most accurate long-term technological predictions can be undone by fundamental errors in financial risk management.

Key Arguments & Data * The Rise of a "Visionary": Leopold Aschenbrenner, a 24-year-old former employee of FTX and OpenAI, gained massive influence through his 165-page manifesto, *Situational Awareness*. He was perceived by investors as an "AI Oracle" capable of predicting the trajectory of the next decade. * **Fund Scale and Strategy:** At its peak, Aschenbrenner’s hedge fund managed approximately $45 billion. The strategy focused on "insider-adjacent" private equity (such as early stakes in Anthropic) and leveraged positions in public AI supply chain companies. * **The Mechanics of the Collapse: * Excessive Leverage:** The fund utilized significant leverage, borrowing roughly $3 to $4 for every $1 of invested capital to amplify returns. * **The Catalyst:** A decline in the stock of SK Hynex (a major South Korean chip manufacturer) triggered widespread anxiety regarding AI profitability and competition from Chinese models. * **Margin Calls:** The drop in volatile holdings triggered margin calls, requiring Aschenbrenner to provide immediate cash to lenders to cover the shrinking value of his collateral. * **The Citadel Restructuring:** To prevent total insolvency, Aschenbrenner reached a deal with Ken Griffin’s Citadel. The fund sold the majority of its portfolio to Citadel at a discount of more than 10% to pay down lenders, though it successfully retained its high-value Anthropic shares. * **Current Fund Status:** Following the deal, the "Situational Awareness" portfolio has been slimmed down but remains valued at over $10 billion.

Actionable Takeaways * Avoid Over-Leveraging Volatile Assets: The primary lesson is that a correct long-term thesis (e.g., "AI will transform the world") provides no protection against insolvency if high leverage is applied to volatile assets. Margin calls can force liquidations at the worst possible market prices, regardless of an investor's conviction. * **Distinguish Between Macro Trends and Micro Risk:** Investors should distinguish between "directional" success (predicting which technology wins) and "structural" success (managing the capital required to stay in the market long enough to realize those wins). * **Monitor Concentration and Liquidity Risk:** When investing in private, illiquid assets like Anthropic, ensure that the rest of the portfolio has sufficient liquidity to meet unexpected margin requirements or shifts in market sentiment.

Full Transcript

Last week there was a wedding. The setting, a coastal town in Northern California. How big of an affair was this going to be? This was the event of the Silicon Valley summer. There were all kinds of top AI and other tech investors and executives coming. It was sort of the place to be. You wanted to see and be seen there.

The bride was the chief of staff to the CEO of Anthropic. And the groom was an investing wonderkind named Leopold Aschenbrenner. So if I had asked you a month ago, who is Leopold Aschenbrenner, how would you answer that question? A month ago, there was a consensus that Leo Aschenbrenner was a nastrodomus of some sorts, of the AI age. Our colleague Gregory Zuckerman covers business and investing. She was young. made predictions. Some of them seemed to come true. He had vision. People deferred to him, so they gave him a lot of money. Ashenbrenner is 24 years old. And just days before his wedding, he was running a hedge fund worth 45 billion. But this was not like also a normal wedding, right? There was like some other features. It wasn't the kind of wedding that many of us experienced. There were no gifts for one.

He didn't need the gifts. And there were breakout sessions, sort of like a conference or TED Talk kind of thing. There were interesting people, smart people going to be there. You want to hear from them. It was like a wedding slash business conference. Yeah, there were colloquiums. So it sounds like a fun, interesting kind of event. I would have liked to have been invited. But in the lead up to the grand event, there was some serious trouble brewing for Ashenbrenner's fund. A bit of an understatement, sorry. Yeah. So he was counting down to his wedding as for the guests and his beautiful bride. But behind the scenes, his hedge fund was melting down, it was collapsing, it was imploding. So your hedge fund melting down, is that worse than rain on your wedding day? It's a little bit worse. Investors thought Ashenbrenner was kind of clairvoyant, that he could guide them through a confusing time. But it turned out, Ashenbrenner made a textbook mistake.

that brought his mighty hedge fund crashing down. Welcome to the Journal, our show about money, business, and power. I'm Ryan Knudson. It's Tuesday, August 4th. Coming up on the show, what the Nostradamus of AI got wrong. Before he was anointed as an investing prodigy, Leopold Aschenbrenner had a resume that looked tailor-made for a career in the tech world. So Leo Aschenbrenner grew up in Germany, came to Columbia University, did exceedingly well in school. He subsequently put on his LinkedIn. He was proud that his LSAT score was like better than 99.4%, I think, of every other score. He was proud of that. I personally have not listed my SAT scores, shared them in many years. I personally will not share my SAT scores, thank you very much. That too, right. After college.

Ashenbrenner moved from one buzzy startup to another. He worked at among the most important and influential and controversial companies out there. He worked at FTX, the San Bankman Freed startup, which became a crypto power. And then imploded. And then imploded, right. Tonight, the cryptocurrency world is reeling after the meltdown of one of its most popular trading platforms. One of the largest exchanges in the world, FTX, collapsed this week after a change. After a stint at FTX, Ashton Brenner went to work for one of the premier tech powerhouses. He went for Sam Altman's OpenAI, worked on the safety side of things, which is quite important. In 2024, OpenAI fired Ashton Brenner, claiming that he leaked sensitive company information to the husband of an executive at their main rival, Anthropic. Ashton Brenner didn't respond to requests for comment, but he did talk about his firing from OpenAI in a 2024 podcast interview.

He said he wrote and shared a brainstorming document on AI safety. You know, I think for context, it was totally normal at opening eye at the time to share sort of safety ideas with external researchers for feedback. You know, it happened all the time. Ashenbrenner's big break came next when he wrote a 165 page essay called situational awareness the decade ahead. It was a manifesto on the future that went viral in tech circles. Yeah, so he made the argument that he is among the few who has situational awareness, meaning he understands where we are in this economy, how things are transitioning, the importance of AI, where things are going, and there are very few people with that quote unquote situational awareness or that ability to predict the

future. The manifesto propelled Ashen Brenner to Silicon Valley fame and helped him raise money for his next venture.

a hedge fund that would invest based on his ideas about the future. Here's Ashen Brunner again. Basically the thing this investment firm will be will be kind of like a brain trust on AI. It's going to be all about situational awareness. We're going to have the best situational awareness in the business. We're going to have way more situational business than any of the people who manage money in New York. We're definitely going to do great on investing. Ashen Brunner named his hedge fund situational awareness. Why would anybody believe that this guy knows what's coming in a decade ahead? Well, listen, we're all looking for direction and guidance. And it's not just you and I and the masses. Even the stars and Silicon Valley are kind of confused. One day, AI is going to take all our jobs away. Next day, they're predicting that it won't affect the job market. They're as confused as anybody. And it's because it's a novel technology. Greg says that in his decades of covering Wall Street, he's noticed that more seasoned investors tend to look to smart young people for ideas. Older, wealthy individuals, investors and others, executives and such, are always looking to the next generation, to the younger generation for predictions, for guidance, for some direction about where this world is going because it's really changing so rapidly and we're aware. We older people are aware that we don't really have our finger on the pulse. And here was this young, well-versed, intelligent individual who presents really well, he came to guide us all. Yeah. Everyone's looking for guidance. He sort of presented himself like an AI Messiah, almost. Like, I see where things are headed. I see the future. Yeah. He was seen as something of an Nostradamus. And if Ashton Brandner was an oracle, the novel-length situational awareness essay was his prophecy.

I mean, he's 24 years old, people entrust him with billions and billions of dollars just a few years out of college. It wouldn't seem to make sense, but even hedge fund managers and Silicon Valley executives and such in the quiet moments of their lives, they're confused. So for someone out there to speak with confidence and anticipate the future, it's something that people embrace. So we found situational awareness, this hedge fund. Talk about its investment strategy. So they bought private investments, companies that are

not yet public, such as Anthropic, and they have the ability to get in on some of these early investments, which is something of a coup now. People are searching, investors are searching for the ability to get in early.

on these up and coming future powers like Anthropic. So he had that ability. Partly because of the document, partly because he was really well connected. So investing with him was sort of a way to invest in Anthropic when you can't currently do that because Anthropic is not publicly traded. Yes. Do we know how he was able to get that stake in Anthropic? So it's not clear. He's really well connected. There are all kinds of either suspicions or suggestions. They're not really accusations. It didn't do anything improper. Anthropics allowed to sell it's stakes to anyone it wants to, but he leveraged his access. Yeah, and we did mention earlier that he just married the CEO's chief of staff, so that might have been helpful. Doesn't hurt. The fund felt exclusive, partly because in order to get in, you had to spend a lot of money. So the minimum investment was 25 million, which is a lot in that.

world. It's not unheard of, but it's a substantial check. So you're really only getting people who can afford it. And that's often, in this case anyway, sort of a who's who in the world of Silicon Valley. The fund's portfolio also included more traditional stuff like stocks and options. And like other hedge funds, situational awareness leveraged its positions to go even bigger on its investments. So every hedge fund out there uses leverage to some extent. They borrow money basically to amplify their bets. Often it's you go to a bank and you borrow money. You say, I've got a dollar of investment money. Hey, can I borrow against that? You put a dollar into the market. Usually in his case, he was getting three or four dollars of lending of borrowed money from banks.

And that really works on the way up. So as opposed to you investing a dollar in the market and then it doubles and you've got 2. If you borrow 3, 4 on top of that dollar and it all goes up, you multiply your returns. Obviously, you also multiply your losses when things turn around and you have a setback. And how was the fund performing in the early days? So the fund was killing it. I mean, it was outperforming most any other rival out there. He was doing really well, both based on the growth of his private investments like Anthropic, but also the public ones. I mean, he grew this

thing to 45 billion. He was trouncing public markets and seems like he was on his way to creating a hedge fund power. So he really...

looked like he had a bright future ahead of him, and it all turned around really quickly. The situation that Ashton Brenner was unaware of? That's next. As of July, situational awareness has been a hedge fund for less than two years. But it was already managing a portfolio of more than 45 billion. And then, just days ago, things started to get shaky. Where does the trouble start? So it started when people investors started having second thoughts about many of the hyperscalers and other types of AI related companies. The thinking being, well, where are the returns? A lot of the biggest AI related companies for the first time ever are going to the debt markets and they're borrowing money and people are kind of now at the point where they're saying, well, yeah, you're talking about big returns, but when are you going to get those returns?

Wall Street has been worried about the amount of money that AI companies are borrowing before they prove they can be profitable in the long term. And some recent developments have made those anxieties worse. Cheaper AI models from China spooked Silicon Valley and raised questions about where the best value lies for AI. Is it in the supply chain, chips, these overseas models? And as a result, some stocks have been hurting and they've been falling. especially those in his portfolio. A lot of the trouble for situational awareness has been centered around a South Korean chip company called SK Hynex. The company recently went public and Ashenbrenner's fund had a huge stake. They came to the market. They sold new shares. People started having second thoughts about the stock. The stock went down. Some of the retail individual investors in South Korea started getting nervous and panicky and sold. So that stock went down and that was part of the reason why Leo felt pressure. So this South Korean chip company, the situational awareness is backing, takes a hit because there are these questions about investing in the AI supply chain. But how does that one company cause so much trouble for Ashenbrenner? So SK Hynex sparked a re-examination of all kinds of AI type stocks.

As a result, his stock portfolio started taking on water suddenly, quickly. And in this world, you get a margin call. For people who don't know what a

margin call is, can you just explain that? Yeah, you borrow money from someone. There are terms involved. You've got collateral you put up, and they know your ability to pay back that loan. And when they see your portfolio shrinking, falling dramatically, 10%, 15%, They right away say, hey, buddy, you've got to come up with new collateral for us. We get nervous. What you put up, the collateral against this loan is now worth a lot less than it was when we issued this loan. So you need to get that collateral back up again so that we feel confident that you'll repay this. Exactly. And that's what happened here. It was more than one call from brokers telling Leo, hey, you've got to come up with new collateral. And as a result, he had to quickly come up with new cash.

Last week, as Ashton Brenner's wedding neared, a flood of margin calls were coming into situational awareness, essentially saying, you need to show us where you're going to get a lot of money and you need to do it fast. So a week or so ago, it became clear to traders, hedge funds, people in the market, the eye world, that this guy was suffering, that he was in some trouble and was going to need cash. And that's where Ken Griffin and Citadel step in. If Lee pulled Asher Brenner represents Silicon Valley's flashy up-and-comers, Ken Griffin and his fund, Citadel, represent the steady hand of the old guard. They kind of smelled a blood in the water, made a call, said, hey, can we be helpful here? How does this negotiation play out? How does Asher Brenner respond to Citadel and Ken Griffin's outreach? So Citadel executives got in touch, said, hey, you seem to need some cash.

We can be helpful. Asher Brenner and his executives thought about what they should be doing, they mulled, they strategized, they debated. And all of this is happening as Asher Brenner is like preparing for his wedding. Yes, hopefully he's good at compartmentalizing. It's gotta be difficult to try to save your hedge fund while you're checking out tuxedos and such. Well past midnight on Wednesday, situational awareness reached a deal with Citadel. The fund would hang onto its valuable anthropic shares, but situational awareness would sell almost everything else to Citadel at a discount of more than 10%. That's according to a person familiar with the matter. Citadel has now publicly commented on the deal. They wrote a big check, handed it over to Ashton Brenner and his firm, and they were able to pay

down their lenders. The deal left situational awareness with a slimmed-down portfolio, but one that's still valued at more than 10 billion. On Thursday, As guests were arriving for the wedding, Ashenbrenner sent a letter to investors explaining what was happening. We let you down this month," he wrote. I take full responsibility for these events. It was a bit of a mea culpa from Ashenbrenner apologizing for the losses. They won't happen again. We've learned our lesson. Greg says there's a bit of irony in Ashenbrenner's story so far. For all his supposed insight into the future, it was a pretty basic lesson from the past that he missed.

Don't over-leverage yourself, especially in a volatile part of the market. There are all kinds of strategies when it comes to hedge funds and people borrow more money if they're investing in bonds and other kinds of things. But if you're going to borrow a lot of money, you don't want to do it to buy stocks that are really volatile because one bad week can lead to a margin call and that's kind of what happened. Everything would have been fine, and he'd still be up a ton had he not borrowed so much money. And that's just an old-school financial issue. It's always the leverage that gets hedge funds and other investors, catches them in the end. Do you think that this soured the mood at the wedding at all? This could not have been helpful to the spirit and mood of the wedding. I have a feeling though, these are all wealthy investor types who've suffered in their own ways time and time again. I mean, if you look at SpaceX and Elon and all the others, there's a sort of almost credibility and respect people have for those who've lost billions. You'd be shocked. Time and time again, I cover, I've written about investors who've cost their clients billions of dollars And they're pretty relaxed and calm and upbeat and not shaken. It's shocking to me. It almost comes across as like a badge of honor, I feel like. There's some element of badge of honor here. Yeah, I'd be in a fetal position and embarrassed to show my face, but you get a little respect in some circles for losing a ton of money really quickly. It's a remarkable phenomenon.

There's this weird assumption that if you've lost a lot of money on Wall Street, it means you can actually make a lot of money the next time. And he has made a lot of money for investors. So a lot of his core clients are still confident in him. And he really could turn things around. He's stabilized his firm. And for all I know, we know he'll remain the Nostradamus of AI and

keep growing his firm. That's all for today, Tuesday, August 4. The journal is a co-production of Spotify and The Wall Street Journal. Additional reporting in this episode by Amisa Gardasey, Berber Jinn, and Peter Rudiger. Thanks for listening. See you tomorrow.